

UNIT III

1. Write about Trading Account
2. Write about Manufacturing Account
3. Write about Profit and Loss Account
4. Write about Balance sheet
5. Adjusting entries and Closing entries.

1. Write about Trading Account

Trading Account is a part of Profit and Loss Account. It is prepared to show the amount of gross profit or gross loss on account of purchasing the goods and selling them. If the sale proceeds are more than the cost of goods sold, gross profit is made. If the sale proceeds are less than the cost of the goods sold, gross loss is sustained. The format of trading account is as follows:

Form and Contents of a Trading account

Trading account of M/s. for the year ended

Dr

Cr

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Opening Stock		xx	By Sales	xx	
To Purchases	xx		Less: Sales Returns	<u>xx</u>	xx
Less: Purchase returns	<u>xx</u>	xx	By Closing stock		xx
To Wages		xx			
To Carriage		xx			
To Fuel		xx			
To Motive Power		xx			
To Octroi		xx			
To Import Duty		xx			
To Clearing Charges		xx			
To Dock Charges		xx			
To Stores consumed		xx			
To Royalty based on production		xx			
To Gross profit (Transferred to profit & loss a/c)		xx			
		<u>xxx</u>			<u>xxx</u>

2. Write about Manufacturing Account

A manufacturing unit usually prepares its final accounts in the form of a Manufacturing Account, a Trading Account, a Profit and Loss Account and a Balance Sheet at the end of a specified period. The purpose for which the Manufacturing Account is prepared is to ascertain the cost of production of the goods produced. The expenses relating to the factory will be transferred to this account. Here expenses are classified into two groups, viz., Direct or chargeable and Indirect or factory. Direct expenses constitute raw materials consumed plus all direct expenses. But indirect expenses include all expenses relating to the factory. The format of Manufacturing Account is as follows:

Proforma of Manufacturing account:

Manufacturing Account of Sri..... for the year ended

Dr

Cr

	Rs.	Rs.		Rs.	Rs.
To Opening Stock			By Closing stock		
Raw Materials	xx		Raw materials	xx	
Work-in-progress	<u>xx</u>	xx	Work-in-progress	<u>xx</u>	xx
To Purchase of Raw materials	xx		By Cost of production		xx
Less: Returns	<u>xx</u>	xx	(Transferred to Trading A/C)		
To Carriage inwards		xx			
To Productive wages		xx			
To Stores		xx			
To Motive Power		xx			
To Lighting & Heating		xx			
To Factory rent		xx			
To Factory insurance		xx			
To Cool & Coke		xx			
To Repairs to Factory		xx			
To Depreciation on Machinery		xx			
		<u>xxx</u>			<u>xxx</u>

3. Write about Profit and Loss Account

After preparation of a Trading Account the next step is to prepare the Profit and Loss Account. The aim of Profit and Loss Account is to ascertain the net profit or net loss for a particular period.

For earning net profit a businessman has to incur many more expenses in addition to the direct expenses. These expenses are deducted from gross profit and the resultant figure is net profit. Thus, "Net profit is the surplus remaining after charging against gross profit all expenses viz. office and administrative expenses, selling and distribution expenses, Financial expenses, maintenance expenses, depreciation and other provisions, properly attributable to the normal activities of the particular business". When such expenses are more than gross

profit the result is net loss and if gross profit exceeds these expenses, the result is net profit. The balance in the Profit and Loss Account i.e net profit or Net loss is transferred to the Proprietor's Capital Account. Thus, "Net Profit increases the proprietor capital while Net Loss decreases the proprietors capital.

PROFORMA OF PROFIT AND LOSS ACCOUNT:

Profit and Loss account of M/s. for the year ended

Dr

Cr

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Management Expenses:			By Gross Profit		xx
Office Salaries & Wages	xx		By Discount Received		xx
Office Rent & Taxes	xx		By Interest received		xx
Office Lighting	xx		By Interest on investments		xx
Office Insurance	xx		By Dividends received		xx
Printing & Stationery	xx		By Interest on Drawings		xx
Postage & Telegrams	xx		By Rent received		xx
Telephone	xx		By Commission received		xx
Legal Expenses	xx		By Profit on sale of assets		xx
Audit Fees	xx		By Bad debts recovered		xx
General Expenses	<u>xx</u>	xxx	By Interest on Bank Deposits		xx
To Selling & Distribution Expenses:			By Apprentice Premium received		xx
Godown Rent	xx		By Sundry Incomes		xx
Packing Expenses	xx				
Advertising	xx				
Agents Commission	xx				
Bad Debts	<u>xx</u>	xxx			
To Financial Expenses:					
Discount Allowed	xx				
Interest on capital	xx				
Interest on Loans	<u>xx</u>	xxx			
To Maintenance Expenses:					
Repairs to Buildings	xx				
Repairs to Machinery	xx				
Repairs to Furniture	<u>xx</u>	xx			
To Depreciation on Fixed Assets:					
On buildings	xx				
On Machinery	xx				
On Furniture	<u>xx</u>	xx			
To Net Profit (Transferred to Capital A/c)		xx			
		<u>xxx</u>			<u>xxx</u>

4. Write about Balance sheet

In the preparation of Final Accounts, preparation of Balance Sheet is the final stage. The preparation of Final Accounts begins with the Trial Balance. Trial Balance contains Personal, Real and Nominal Accounts. All nominal accounts are transferred to the Trading Account or Profit and Loss Account. Balance sheet represent either Personal Accounts or Real Accounts. A debit balance in a Personal Account or Real Account represents an asset. A credit balance in a Personal Account represents a liability. All such assets and liabilities are shown in the Balance Sheet

Thus, a Balance Sheet may be defined as a statement showing all the assets and liabilities of a business at a given date. Thus, by preparing a Balance sheet trader wants to know his true financial position at the end of each trading period.

Format of Balance Sheet

(Horizontal)

(Order of Liquidity)

Balance sheet of XYZ Co. as on March 31, 2024

Liabilities	Amount (Rs.)	Amount (Rs.)	Assets	Amount (Rs.)	Amount (Rs.)
Current Liabilities:			Current Assets:		
Creditors		xx	Cash in Hand		xx
Bills Payable		xx	Cash at Bank		xx
Bank Loan		xx	Debtors		xx
Outstanding		xx	Bills Receivable		xx
expenses		xx	Stock-in -trade		xx
Income received in advance			Outstanding Income		xx
		xx			
Fixed Liabilities:		xx	Fixed Assets:		
Loan			Furniture		xx
Mortgage Loan			Plant and Machinery		xx
			Buildings		xx
			Land		xx
Capital:			Goodwill		xx
X capital	xx				
Y capital	xx				
Z capital	<u>xx</u>				
	xxx				
Add: Net profit	<u>xx</u>				
	xxx				
Add: Interest on capital	<u>xx</u>				
	xxx				

Less: Drawings	<u>xx</u> xxx				
Less: Interest on drawings	<u>xx</u>	xxx			
		<u>xxx</u>			<u>xxx</u>

5.Adjusting entries and Closing entries.

Adjusting Entries:

There are certain incomes and expenses which are not recorded even at the closing date of accounts. If those incomes and expenses are not taken into consideration, correct profit or loss cannot be ascertained. That is why, in order to prepare the final accounts for a particular period, these incomes and expenses are to be adjusted since they affect profits or losses, assets and liabilities of a business. For instance, adjustment is required in respect of outstanding expenses, prepaid expenses, provision for bad debts, etc. Entries made for such adjustment are called Adjustment Entries. These entries are made in the Journal proper

Closing entries.

Closing entries are used at the end of the accounting year for closing off accounts relating to expenses and revenues. These accounts are closed by transferring their balances to Trading and Profit and Loss Account. Since records must not be made in the ledger without journal entries, closing entries are passed in the Journal proper first and then posted to the ledger.